CLOSING STATEMENT

Saddlebrook Maple Homes | Minneapolis, MN

Property	Saddlebrook Maple Homes
Settlement Date	November 26, 2023
Buyer	Beacon Hollow Investors
Seller	Gable Point Capital
Sale Price	$37,960,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$37,960,000			
Earnest money deposit		$132,987	$132,987	
Real estate tax proration	$375,843			$375,843
Rent proration			$222,305	
Security deposits assumed	$58,919	$58,919		
Prepaid rents			$356,227	$356,227
Owner's title policy premium	$235,173			
Lender's title policy premium		$166,038	$166,038	
Escrow fee	$293,391			$293,391
Recording fees			$25,667	
Transfer tax	$345,955	$345,955		
Survey			$278,278	$278,278
Legal fees - Buyer	$277,486			
Legal fees - Seller		$112,807	$112,807	
Broker commission	$277,239			$277,239
Loan origination fee			$31,328	
Lender legal	$55,986	$55,986		
Appraisal fee			$42,374	$42,374
Environmental report	$10,205			
Property condition report		$150,149	$150,149	
Tax escrow deposit	$156,416			$156,416
Insurance escrow deposit			$330,675	
Replacement reserve deposit	$378,431	$378,431		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$37,960,000			
Legal fees - Seller		$259,736	$259,736	
Broker commission	$332,812			$332,812
Loan origination fee			$305,327	
Lender legal	$67,474	$67,474		
Appraisal fee			$200,732	$200,732
Environmental report	$39,785			
Property condition report		$244,840	$244,840	
Tax escrow deposit	$184,821			$184,821
Insurance escrow deposit			$328,267	
Replacement reserve deposit	$130,318	$130,318		
Utility deposits			$49,012	$49,012
Assumed vendor contracts credit	$310,805			
Tenant improvement credit		$178,343	$178,343	
Courier / wire fees	$38,321			$38,321
Municipal certificates			$58,928	
Purchase price	$340,043	$340,043		
Earnest money deposit			$87,487	$87,487
Real estate tax proration	$378,639			
Rent proration		$14,296	$14,296	
Security deposits assumed	$22,847			$22,847
Prepaid rents			$207,075	
Owner's title policy premium	$199,181	$199,181		
Lender's title policy premium			$9,996	$9,996
Escrow fee	$124,719			
Recording fees		$53,245	$53,245	
Transfer tax	$30,120			$30,120
Survey			$188,859	

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Operating Performance

The going-in capitalization rate of 7.83% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.92x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $21,000 per home, and the in-house maintenance team handles most work orders within 22 days. Operating expenses totaled $98,000 or approximately 46.24 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $279,000, representing a 11.4% increase over the prior year. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $51,000 or approximately 10.26 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.04% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Turn costs average $120,000 per home, and the in-house maintenance team handles most work orders within 18 days. Operating expenses totaled $420,000 or approximately 22.36 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,594 square feet with average monthly rent of $2,757.

Homes average 1,594 square feet with average monthly rent of $2,757. Debt service coverage ratio was 7.75x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $55,000 or approximately 20.33 per square foot, with real estate taxes representing the largest line item. Turn costs average $156,000 per home, and the in-house maintenance team handles most work orders within 45 days.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $76,000, representing a 6.6% increase over the prior year. Turn costs average $168,000 per home, and the in-house maintenance team handles most work orders within 33 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,594 square feet with average monthly rent of $2,757.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 5.12% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $404,000 or approximately 31.37 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,594 square feet with average monthly rent of $2,757.

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Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$37,960,000			
Tenant improvement credit		$54,539	$54,539	
Courier / wire fees	$269,448			$269,448
Municipal certificates			$134,242	
Purchase price	$168,700	$168,700		
Earnest money deposit			$41,906	$41,906
Real estate tax proration	$336,041			
Rent proration		$237,052	$237,052	
Security deposits assumed	$193,978			$193,978
Prepaid rents			$357,778	
Owner's title policy premium	$234,440	$234,440		
Lender's title policy premium			$88,832	$88,832
Escrow fee	$306,664			
Recording fees		$165,156	$165,156	
Transfer tax	$164,754			$164,754
Survey			$334,291	
Legal fees - Buyer	$185,412	$185,412		
Legal fees - Seller			$114,899	$114,899
Broker commission	$354,709			
Loan origination fee		$28,051	$28,051	
Lender legal	$324,160			$324,160
Appraisal fee			$148,709	
Environmental report	$86,367	$86,367		
Property condition report			$262,092	$262,092
Tax escrow deposit	$284,060			
Insurance escrow deposit		$187,641	$187,641	
Replacement reserve deposit	$8,014			$8,014
Utility deposits			$313,211	

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Valuation Discussion

Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $210,000 per home, and the in-house maintenance team handles most work orders within 36 days. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Operating expenses totaled $415,000 or approximately 9.05 per square foot, with real estate taxes representing the largest line item.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $144,000 or approximately 32.92 per square foot, with real estate taxes representing the largest line item. Turn costs average $98,000 per home, and the in-house maintenance team handles most work orders within 28 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period.

Financial Analysis

The going-in capitalization rate of 8.01% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Homes average 1,594 square feet with average monthly rent of $2,757.

Debt service coverage ratio was 5.12x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $9,000 or approximately 44.03 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Valuation Discussion

The going-in capitalization rate of 7.80% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Operating expenses totaled $401,000 or approximately 18.34 per square foot, with real estate taxes representing the largest line item. Homes average 1,594 square feet with average monthly rent of $2,757.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,594 square feet with average monthly rent of $2,757. The going-in capitalization rate of 7.94% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $455,000, representing a 7.1% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$37,960,000			
Recording fees		$39,071	$39,071	
Transfer tax	$197,829			$197,829
Survey			$229,617	
Legal fees - Buyer	$114,549	$114,549		
Legal fees - Seller			$310,724	$310,724
Broker commission	$11,888			
Loan origination fee		$218,111	$218,111	
Lender legal	$314,367			$314,367
Appraisal fee			$143,753	
Environmental report	$70,782	$70,782		
Property condition report			$219,695	$219,695
Tax escrow deposit	$190,555			
Insurance escrow deposit		$228,423	$228,423	
Replacement reserve deposit	$100,033			$100,033
Utility deposits			$326,420	
Assumed vendor contracts credit	$41,305	$41,305		
Tenant improvement credit			$272,349	$272,349
Courier / wire fees	$92,334			
Municipal certificates		$28,098	$28,098	
Purchase price	$258,348			$258,348
Earnest money deposit			$347,276	
Real estate tax proration	$171,580	$171,580		
Rent proration			$144,590	$144,590
Security deposits assumed	$39,384			
Prepaid rents		$379,466	$379,466	
Owner's title policy premium	$167,651			$167,651
Lender's title policy premium			$271,357	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Saddlebrook Maple Homes Owner LLC

By: Fatima Kowalski Title: Manager Date: 11/26/2023

_____

Sofia Jackson

By: Fatima Garcia Title: President Date: 11/26/2023

Exhibit A - Property

Saddlebrook Maple Homes, 6021 Market Drive, Minneapolis, MN 44234. Parcel containing approximately 11.47 acres, together with all improvements thereon.

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